

Using Credit Cards Wisely

Credit cards can be a great tool when used wisely. Unfortunately, many people get in over their heads when they're just out of school and may never recover from the financial decisions they make unless they get serious about getting out of debt.

Staying Out of Trouble

A large percentage of credit card debt is incurred around the holidays. If you use your credit cards to do holiday shopping, you may not pay off the charges until months later. Using credit cards often leads to impulse spending and overspending, and those items that seemed like such bargains end up costing you 10 to 20 percent more than you thought, due to credit card interest. If you can't afford to pay cash, can you really afford to buy the gift? Instead, try saving small amounts of money throughout the year in a special holiday gift fund.

Some people use their credit card for nearly all of their expenses and pay off the balance in full at the end of the month. This gives them one document that includes most of their expenditures for the month and can help in budgeting and keeping track of where their money goes. If you don't have the money or the discipline to pay off your balance every month, you should avoid using a credit card for things such as clothing, food, gas, dining out, and similar expenses.

Review your credit card statement carefully each month, and if you see anything that doesn't look right, such as purchases you didn't make, or incorrect payments or credits, call the number on your statement for billing questions. If a phone call doesn't clear up the problem, you have sixty days to notify the credit card company in writing. It has thirty days to respond and ninety days to resolve the error. In the meantime, you're not required to pay the disputed amount, and you won't incur any finance charges on the disputed amount while the credit card company investigates.

Cash Advances